

Here is your content arranged **point-wise**, keeping the **same sentences** and meaning, only structured clearly:

6. Money and Banks

1. Meaning of Money

- In economics, the term money is not as straightforward as it may seem.
 - Money refers to any commodity or token that is widely accepted as a means of payment for goods and services.
 - This can include currency (notes and coins) as well as bank deposits.
 - The total value of money circulating in an economy at a specific point in time is known as the money supply, a key macroeconomic variable.
 - The importance of the money supply lies in its role as a measure of the amount available for immediate consumption.
 - It influences economic activities by affecting spending, investment, and prices.
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Money Types

1. Currency and Coins

- These are the physical forms of money that are used for everyday transactions.
- They represent a direct and tangible form of exchange.

2. Bank Deposits

- This includes savings and checking accounts in commercial banks.
- They represent money held electronically and can be accessed for transactions.
- For instance, you might transfer money from your bank account to pay utility bills online.

3. Money vs. Wealth

- Money and wealth are different concepts.
- Wealth refers to a person's or a country's stock of assets, like real estate or stocks.
- You can be wealthy without having cash in hand; for instance, owning a home or having a portfolio of investments.

- Money, on the other hand, is more immediate—it's liquid and can be easily used for transactions.

4. Money vs. Income

- Income is a flow of money over time, typically measured monthly or annually (like wages or rents).
 - Money is a stock at a specific point in time—how much cash or deposits you have at any moment.
 - It's possible to have high income but no money (if income is tied up in investments or debt), or to have money but no income (if all your assets are liquid and immediately available).
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6.1 Economic Functions of Money

1. Medium of Exchange

- Money simplifies transactions.
- Without it, we would live in a barter economy where we would have to exchange goods directly (like fish for bread).
- Money acts as an intermediary that allows us to sell goods for money and then use that money to buy other goods or services.

2. Unit of Account

- Money provides a standard measure of value, allowing for easy comparison of prices.
- It simplifies decision-making and facilitates trade.

3. Store of Value

- Money retains its value over time, which is essential for saving and spending in the future.
 - Unlike perishable goods like food, money can be stored, saved, and spent at a later date.
 - This function allows individuals to plan for future consumption or investment.
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6.2 Central Banks

- A central bank is a public authority responsible for monetary policy in a country or a group of countries.
- Central banks hold a monopoly on issuing the national currency.
- They play a crucial role in maintaining monetary stability—whether it's controlling inflation, managing exchange rates, or overseeing financial institutions.

Primary Responsibilities

1. Monetary Policy
 - Central banks control the money supply and interest rates.
 - They can directly influence the overnight interest rate.
 - They indirectly affect longer-term rates through tools like open market operations.
 2. Regulating Financial Markets
 - Central banks regulate and supervise commercial banks and financial institutions to ensure stability and prevent financial crises.
 - This includes setting capital requirements, ensuring liquidity, and monitoring financial risk.
 3. Foreign Exchange Reserves
 - Central banks manage the country's foreign exchange reserves.
 - This helps stabilize the national currency and ensure economic security.
 4. Bankers' Bank
 - The central bank acts as a lender of last resort.
 - Commercial banks can borrow money from the central bank if they face liquidity problems.
 - Every commercial bank in a country has an account at the central bank.
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6.3 Commercial Banks

- Currency inside commercial banks is not counted as money until withdrawn.
 - We want the money supply to measure how much is available for immediate consumption.
 - Currency inside a bank cannot be used for consumption and this is why it is not counted in the money supply.
 - Commercial banks cannot print money or influence the monetary base.
 - They can influence the money supply through deposits.
 - A bank increases the money supply by lending money to a customer.
 - When a loan is repaid, the money supply decreases.
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7. Interest Rate

- Interest is the cost of borrowing money.
- It is expressed as a percentage of the principal amount borrowed.
- It is usually calculated per year.

Types of Interest Rates

1. Fixed Interest Rate
 - The interest rate remains constant throughout the life of the loan.
 - It does not change with market conditions.
 2. Floating Interest Rate
 - The interest rate adjusts periodically based on market conditions.
 - It can increase or decrease over time.
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7.1 Yield Curve

- The yield curve is a graph showing interest rates of bonds with different maturities.
 - It is usually upward sloping.
 - Longer-term interest rates are higher than shorter-term rates.
 - Longer maturities carry more risk.
 - Investors require higher returns for longer periods.
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7.2 Overnight Interest Rates

- Overnight interest rates refer to borrowing or lending money for one night.
 - They influence short-term liquidity in the banking system.
 - Banks borrow or lend to meet reserve requirements.
 - The overnight rate reflects supply and demand in the market.
 - It serves as a benchmark for other short-term interest rates.
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7.3 Monetary Policy

- Monetary policy refers to central bank actions to control money supply and interest rates.
- Its goals include controlling inflation, consumption, growth, and liquidity.

Tools of Monetary Policy

1. Overnight Interest Rates
 2. The Monetary Base
 3. Longer-Term Interest Rates
 4. Controlling Inflation
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7.4 Nominal and Real Interest Rates

- The nominal interest rate shows the growth of money.
 - The real interest rate shows the growth of purchasing power.
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8. Macroeconomic Models

- Macroeconomic models analyze economic scenarios.
 - They help understand relationships between macroeconomic variables.
 - No single model captures all aspects of the economy.
 - The neo-classical synthesis combines classical and Keynesian ideas.
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8.2 Common Assumptions

1. Unemployment and hours worked are directly related.
 2. The central bank has control over money supply.
 3. Monetary policy equals change in money supply.
 4. There is just one interest rate in models.
 5. Exchange rate is flexible.
 6. Higher domestic interest rates attract capital inflows.
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8.3 Supply and Demand

- Demand and supply represent intentions.
 - Observed quantity is the actual outcome.
 - In macroeconomics, similar distinctions apply to aggregate variables.
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9. Numericals on GDP

1. Expenditure Approach

$$\text{GDP} = C + I + G + (X - \text{Im})$$

2. Value Added Approach

$$\text{GDP} = \text{Sum of Value Added}$$

3. Components Approach

$$\text{GDP} = C + I + G + \text{NX}$$

4. Income Approach

$$\text{GDP} = \text{Wages} + \text{Interest} + \text{Rent} + \text{Profits}$$

10. ESG (Environmental, Social, Governance)

1. Environmental

- Focuses on company impact on the environment.
- Includes carbon emissions, waste management, and sustainability.

2. Social

- Focuses on relationships with employees and communities.

- Includes labor practices and diversity.

3. Governance

- Focuses on leadership structure and corporate accountability.
- Includes board structure, transparency, and ethics.

If you want, I can also convert this into **exam-ready short notes (2–3 marks format)** or **very short revision points for quick study before exam**.